

Proc. § 1281].)

Analysis

A. Existence of Agreement

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC*, hereinafter “*Pinnacle*,” (2012) 55 Cal.4th 223, 236.) Here, defendant provided signed copies of the agreement, which plaintiff does not dispute. Existence of an arbitration agreement has been established. The only point of disagreement here concerns whether the “individual PAGA claim” is covered by that agreement.

B. Scope of Agreement to Arbitrate

The agreement provides that it is governed by the Federal Arbitration Act, 9 U.S.C. § 1 et seq. and evidences a transaction involving commerce. The agreement further provides that it applies to “any dispute arising out of or related to Employee's application and selection for employment, employment, and/or termination of employment with SHAHS OF SHIRAZ INC or one of its affiliates, subsidiaries or parent companies (“Company”).” The agreement binds both parties to arbitrate disputes with certain exceptions. It contains a paragraph at the bottom of the first page which states:

2. Limitations On How This Agreement Applies. **These claims are not covered under this Agreement:** (i) Workers' Compensation benefits, state disability insurance benefits or unemployment insurance benefits; however, this Agreement applies to discrimination or retaliation claims based upon seeking such benefits; (ii) disputes that an applicable federal statute expressly states cannot be arbitrated or subject to a pre-dispute arbitration agreement; and (iii) **representative actions for civil penalties filed under the California Private Attorney General Act (“PAGA”)** (*but to the extent permitted by applicable law, any claim by Employee on Employee's own behalf under PAGA to recover Employee's own unpaid wages must be arbitrated and is covered by this Agreement*).

(Sahebalzamany Decl., Exhibits A and B, bolding and italics added.)

Plaintiff contends that the above italicized language means that his own civil penalty claims should *not* be arbitrated and instead proceed simultaneously with the arbitration in this Court.

In reply, defendant contends that, read in context, the italicized language was simply a reference to plaintiff's individual claims, using the term “wages” loosely and covering the applicable meal and rest period premiums that might also underlie plaintiff's causes of action.

Defendant correctly argues that both the California Code of Civil Procedure § 1281.4, as well as the Federal Arbitration Act, require the Court to implement a stay of a PAGA claim in a case like the present, pursuant to recent Supreme Court authority and subsequent cases. (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123; see also *Leeper v. Shipt, Inc.* (2024) 107 Cal.App.5th 1001, 1013.) Because the outcome of the arbitration could be binding in any PAGA action with respect to plaintiff's standing to act as a PAGA representative, these cases have held that the trial court should stay any PAGA claim pending arbitration of arbitration involving the individual claims.

Accordingly, the motion must be granted.

22. 9:00 AM CASE NUMBER: C25-03352
CASE NAME: LUIS GOMEZ PASTRANA VS. DCS TRANSPORTATION
***HEARING ON MOTION IN RE: VENUE**
FILED BY:
TENTATIVE RULING:

Defendant Discount Courier Services, Inc.'s Motion to Transfer Venue to Orange County is **denied**.

Background

This is a putative class and representative action brought by Plaintiff Luis Gomez Pastrana against Defendant Discount Courier Services, Inc. alleging that Defendant misclassified Plaintiff, the putative Class, and Aggrieved Employees performing courier services in California as independent contractors. The operative pleading is the First Amended Complaint (FAC), which asserts nine causes of action: (1) failure to pay minimum wage; (2) failure to pay overtime compensation; (3) failure to provide meal periods; (4) failure to provide rest periods; (5) failure to indemnify necessary business expenses; (6) waiting time penalties; (7) failure to provide accurate itemized wage statements; (8) unlawful business practices under the UCL; and (9) civil penalties under the Private Attorneys General Act, Lab. Code, § 2698 et seq, (PAGA). The first through eighth causes of action are brought individually and on behalf of a putative class of non-exempt delivery drivers, and the ninth cause of action is brought in a representative capacity under PAGA.

Defendant moved to transfer venue to Orange County, or in the alternative to dismiss the action under Code of Civil Procedure section 410.30. In its moving papers, Defendant argued that Plaintiff had contractually agreed to litigate in Orange County, though it failed to attach the contract and relied solely on a statement in its CEO Omar K. Elkabbara's declaration that he was "aware that Luis Gomez Pastrana signed a written agreement requiring venue of this action in Orange County, California." Mr. Elkabbara further declared that Defendant's headquarters are located in Orange County and that the company conducts less than five percent of its business in Contra Costa County.

The motion was calendared for hearing on August 5, 2026. On July 29, 2026, Defendant filed a reply brief accompanied by a supplemental declaration of Mr. Elkabbara, which for the first time attached a copy of the contract containing the Orange County venue selection clause. Because new evidence is generally not permitted on reply without affording the opposing party a fair opportunity to respond, the Court continued the August 5 hearing to September 16, 2026, and gave Plaintiff the opportunity to file a supplemental brief. On September 2, 2026, Plaintiff filed a supplemental opposition and a supporting declaration of Plaintiff.

The contract produced by Defendant is an Independent Contractor Agreement (Agreement) entered into between Plaintiff and an entity called DCS Management, LLC, a Florida limited liability company, for the performance of package and courier delivery services. Under its terms, the contractor agrees to transport goods for customers, retaining the discretion to accept or decline individual delivery opportunities. The Agreement places the operational details and business expenses on the contractor. It also disclaims any employment relationship between defendant and the contractor and any subordinate drivers or helpers the contractor might hire. The Agreement's paragraph 24 contains the venue section clause, which states "[i]n any court litigation arising out of this agreement, venue is

in the Superior Court of the State of California, County of Orange."

Analysis

Venue Is Proper Under Code of Civil Procedure Section 395.5

In bringing a motion to transfer venue, a defendant bears the burden of demonstrating that the plaintiff's venue selection is not proper under any statutory ground. (*Fontaine v. Superior Court* (2009) 175 Cal.App.4th 830, 836.) The presumption is that the plaintiff has selected the proper county. (*Id.*) In opposing a motion to transfer venue, a plaintiff may rely on allegations in an unverified complaint so long as the defendant's declaration does not controvert factual allegations that are essential to the venue analysis. (*Quick v. Corsaro* (1960) 180 Cal.App.2d 831, 835–836 ["[W]here the defendant's affidavit does not deny or otherwise meet these essential allegations in the complaint as they relate to venue, it is insufficient upon which to grant a motion for a change, and the complaint will determine jurisdiction, even though unverified."])

Under Code of Civil Procedure section 395.5, a corporation may be sued in the county "where the obligation or liability arises, or the breach occurs; or in the county where the principal place of business of such corporation is situated." Additionally, Code of Civil Procedure section 393 provides that an action seeking recovery of a statutory penalty may be tried in "the county in which the cause, or some part of the cause, arose." The question here is whether the liability sued upon arose in Contra Costa County. For purposes of laying venue, liability "arises" where the injury occurs. (*Black Diamond Asphalt, Inc. v. Superior Court* (2003) 109 Cal.App.4th 166, 172.) When an employer fails to provide meal and rest breaks under the Labor Code, for example, the legal violation occurs at the work location where the employee was deprived of the break. (*Kirby v. Immoos Fire Protection, Inc.* (2012) 53 Cal.4th 1244, 1251–1257 [the legal violation is nonprovision of meal or rest breaks, which arises at work location, even though remedy is a wage payable at company headquarters].)

Here, the FAC alleges that Defendant "own[s] and operate[s] an industry, business, and establishment within the State of California, including in Contra Costa County" (FAC ¶ 4), that Defendant is "a business entity conducting business in numerous counties throughout the State of California, including in Contra Costa County" (FAC ¶ 10(b)), and that "[t]he wrongful conduct alleged against the Defendants occurred in the County of Contra Costa, California." (FAC ¶ 14.)

Defendant's sole evidence regarding its Contra Costa operations is Elkabbara's declaration stating that Defendant "has never had an office or relevant presence in Contra Costa County," while conceding that Defendant "does less than five percent of its business in Contra Costa County." (Elkabbara Decl., ¶¶ 4-5.) Asserting a lack of "relevant" presence is an unsupported legal conclusion. More significantly, Defendant's admission that it does business in the county undermines the argument that no liability arose there. Mr. Elkabbara never explains what Defendant's business in Contra Costa entails. In the context of a courier logistics service, one would ordinarily expect that conducting business in a county involves dispatching drivers, assigning delivery routes, and transporting packages through or within county boundaries. Absent from his declaration is any statement that no couriers ever drove delivery routes, worked shifts, or incurred wage-and-hour violations in Contra Costa County. Without evidence negating the performance of courier work within Contra Costa as to any represented driver, Defendant cannot overcome the presumption that venue is proper in this county.

Defendant's Attempted Distinction Based on Facilities

Plaintiff relies on *Crestwood Behavioral Health v. Superior Court* (2021) 60 Cal.App.5th 1069, which holds that venue for a representative PAGA claim lies in any county where an alleged Labor Code violation occurred against any aggrieved employee, regardless of where the named plaintiff worked. (*Id.* at p. 1075.) Defendant attempts to distinguish *Crestwood* by emphasizing DCS's lack of brick-and-mortar facilities in Contra Costa County. Showing that DCS lacks an office in Contra Costa does not establish that couriers performed no deliveries and suffered no statutory violations there. Because Defendant bears the burden of disproving every statutory ground for venue, and because Defendant admits that it conducts business in Contra Costa but offers no evidence that couriers did not work there, this attempted distinction is not persuasive.

Defendant also asserts that "transient business activity is not a Labor Code violation." It is unclear what Defendant means by this assertion. Assuming Defendant is arguing that Labor Code violations cannot "arise" in a county merely because a defendant's business activity there is transient or mobile, Defendant cites no legal authority for this proposition. Defendant's characterization of courier operations as merely transient does not satisfy its burden of establishing that no wage and hour claims arose in Contra Costa County.

The Exhaustion Objection to the PAGA Claims

Defendant argues that Plaintiff's PAGA claims were filed prematurely and therefore cannot serve as a basis for venue under *Crestwood*. Defendant notes that Plaintiff submitted notice to the Labor and Workforce Development Agency on December 11, 2025, and filed the FAC asserting PAGA claims that same day, without waiting the 65-day statutory period required by Labor Code section 2699.3, subdivision (a).

On a motion for change of venue under section 396b, the court looks to the allegations of the complaint and does not adjudicate the merits or analyze the sufficiency of individual causes of action. Defendant cites no authority for the proposition that an unexhausted PAGA claim vitiates venue otherwise established under section 395.5 as to all nine causes of action. Therefore, the Court concludes that whether Plaintiff's PAGA cause of action is subject to an exhaustion challenge is an issue for a demurrer, not a venue motion.

The Mixed-Action Rule Does Not Require Transfer

Defendant argues that under the mixed action rule, the presence of Plaintiff's class claims mandates transferring the entire case to Orange County.

The mixed-action rule provides that where a plaintiff alleges multiple causes of action governed by different venue rules, a motion to transfer must be granted as to the entire complaint if the moving defendant is entitled to a change of venue on any single cause of action. (*Brown v. Superior Court* (1984) 37 Cal.3d 477, 488; *Capp Care, Inc. v. Superior Court* (1987) 195 Cal.App.3d 504, 508.) In *Brown*, the California Supreme Court recognized an exception for claims brought under the Fair Employment and Housing Act, holding that FEHA's specific statutory venue provision overrode general venue principles for related causes of action arising from the same facts. (*Brown, supra*, 37 Cal.3d at pp. 486–487.) Defendant claims that because PAGA contains no comparable statutory venue

provision, *Brown* does not apply, and the class claims therefore require transfer of the entire case under the mixed-action rule. Plaintiff responds that PAGA's strong public enforcement policy supports keeping all related claims in a single forum, just as *Brown* held for FEHA claims.

The mixed-action rule only operates if the moving defendant first establishes that venue is improper as to at least one cause of action. (*Brown, supra*, 37 Cal.3d at p. 488; *Capp Care, supra*, 195 Cal.App.3d at p. 508.) As noted, Defendant here bears the burden of negating every statutory ground for venue under Code of Civil Procedure section 395.5. (*Fontaine, supra*, 175 Cal.App.4th at p. 836.)

The FAC alleges that Defendant conducts business in Contra Costa County and that the wrongful conduct occurred here. Defendant treated Plaintiff's county of residence and its own principal place of business as proof that all work and statutory injuries occurred in Orange County. But an individual's residence is not a statutory venue factor under section 395.5, and Defendant cites no authority establishing that wage-and-hour liability arises solely at a worker's residence or an employer's principal place of business. Having admitted it conducts business in Contra Costa County, Defendant bore the burden of showing that Plaintiff and the represented employees neither worked nor suffered violations here. It failed to do so.

Because Defendant has not established improper venue under section 395.5, the mixed-action rule cannot require transfer of the entire action, and the court need not decide whether *Brown*'s reasoning extends to PAGA claims.

Enforceability and Scope of the Venue Selection Clause

Because statutory venue is proper in Contra Costa County under section 395.5, the action may only be transferred if the venue clause in the Independent Contractor Agreement requires it. Defendant has failed to establish that the venue clause requires transfer, for two reasons.

First, moving Defendant Discount Courier Services, Inc. has failed to establish that it has standing to enforce the Agreement. A party seeking to enforce a forum or venue selection provision must be a party to the contract or demonstrate an established legal basis permitting enforcement by a nonsignatory, such as third-party beneficiary status, succession, assignment, or agency. (See *Bancomer, S.A. v. Superior Court* (1996) 44 Cal.App.4th 1450, 1458–1461.) Here, the Agreement identifies the contracting entity as "DCS Management, LLC," a Florida limited liability company. Defendant Discount Courier Services, Inc. is not a signatory, nor is it identified as a contracting party. Although Mr. Elkabbara characterizes Exhibit A as "the written agreement between DCS and Plaintiff," Defendant provides no evidence establishing the legal relationship between Discount Courier Services, Inc. and DCS Management, LLC. Without such evidence, Defendant cannot enforce a contractual clause in an agreement to which it is a nonsignatory.

Second, Plaintiff argues the Agreement's venue provision does not cover his claims. The clause is drafted to encompass only litigation "arising out of" the agreement. Under California law, whether a dispute-resolution provision covers a particular dispute depends on whether the clause is broad or narrow. (See, e.g., *Rice v. Downs* (2016) 248 Cal.App.4th 175, 186; *Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1051–1052.) Clauses limited to disputes "arising from" or "arising out of" an agreement are generally interpreted as narrow clauses that apply only to disputes regarding the interpretation and performance of the contract itself. (*Rice, supra*, 248 Cal.App.4th at pp. 186–187;

Ramos, *supra*, 28 Cal.App.5th at p. 1052.) In contrast, clauses that add more expansive phrasing such as "or relating to" or "in connection with" are construed broadly and may reach extracontractual tort or statutory claims having their roots in the parties' working relationship. (*Ramos, supra*, 28 Cal.App.5th at pp. 1051–1052.)

Here, Paragraph 24 contains no broad "relating to" language; it is confined to litigation "arising out of this agreement." Under *Elijahjuan v. Superior Court* (2012) 210 Cal.App.4th 15, Plaintiff's claims do not arise under the Agreement. In *Elijahjuan*, workers who signed independent contractor agreements brought statutory misclassification and wage claims under the Labor Code. The Court of Appeal held that these claims did not arise out of the contracts because the workers were not seeking to enforce rights created by the agreements. (*Id.* at p. 21.) As the court explained, worker classification depends on the governing statutory standards and the actual work performed, rather than the contractual label chosen by the parties. (*Id.* at pp. 21–22.) *Elijahjuan* confirmed that while an agreement may serve as evidence of the relationship, statutory Labor Code claims do not "arise out of the contract, involve the interpretation of any contract terms, or otherwise require there to be a contract." (*Elijahjuan, supra*, 210 Cal.App.4th at pp. 21–24; see also *Ramos, supra*, 28 Cal.App.5th at p. 1052 [citing *Elijahjuan* as an example of a narrow clause that failed to cover statutory misclassification claims].)

Plaintiff does not allege a breach of the Agreement, nor does Plaintiff seek to enforce any promised term of compensation under it. Instead, the action seeks to enforce statutory protections under California law regarding minimum wages, overtime, meal and rest periods, wage statements, and expense reimbursements. Because those duties exist independently of the Agreement and do not turn on its interpretation or performance, they do not "arise out of" the Agreement.

Because Defendant lacks standing to enforce the Agreement and because the statutory claims do not arise out of it, the Court does not reach Plaintiff's alternative argument that he did not knowingly and voluntarily agreed to venue in Orange County.

Transfer for the Convenience of Witnesses

In its opening brief, Defendant raised the convenience of witnesses as a ground for transfer, asserting all witnesses work or reside in Orange County. In opposition, Plaintiff argued that any transfer based on witness convenience is premature before an answer has been filed, and unsupported because Defendant identified no nonparty witnesses. In its reply, Defendant clarified that it is not moving for a change of venue based on the convenience of witnesses at this time, and stating that it reserves the right to bring a convenience-of-witnesses motion after filing its answer. Because Defendant is not seeking relief under section 397(c) at this time, the Court does not address the issue.

Disposition

Based on the foregoing, Defendant's motion to transfer venue is **denied**.